Facility Letter

Reference No. : SME/MTL/1188/3735/2024-2025

Date : 28-11-2024

To,
DYNAMIC AIR ENGINEERING INDIA PRIVATE LIMITED,
NO.4 ,
BOOPATHY NAGAR, INDUSTRIAL ESTATE ,
CHENNAI , TAMIL NADU , 600117 ,

Kind Attn : KARTHIKEYAN

Dear : Sir/Madam

Sub : Sanction of Machinery Term Loan of Rs. 71,42,115.20

We are pleased to advise sanction of Machinery Term Loan as per the following terms and conditions

Term Sheet

Facility Type	Machinery Term Loan
Facility Amount (INR)	71,42,115.20
Purpose	To buy machinery
Sanction Validity (Days)	60
Invoice Ageing (Days)	
Penal Charges	3
Nature	Non Revolving
Disbursement	To Suppliers Account
Personal Guarantee	

Primary Security:

Sr No	Type of Machine	Supplier Name	Invoice Value / Valuation Amount
1	NEW MACHINERY	K2 CRANES & COMPONENTS PRIVATE LIMITED	37,46,500.00
2	NEW MACHINERY	MAP SPM	28,32,000.00
3	NEW MACHINERY	NAGA WELDERS	23,49,144.00

Secondary Security:

Type of Property	Value of Property (INR in Lakhs)	Property Address	Security Cover(%)

PDCs: as per standard SF policy

PG:
- KARTHIKEYAN
- GIRIJA

FOR SUNDARAM FINANCE LIMITED

Signatory

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

BORROWER

Managing Director

GUARANTORS

G. Girija

Margin	20.00
Rate of Interest p.a (%)	12.5
Availability (Months)	36
Repayment / Tranche	Equated monthly instalments
Processing Fee(%)	1
Next Review Date	27/11/2025 /As and when applicable
Documentation	As stipulated by SF from time to time

Other Conditions:-

Irregularity on account of nonpayment of interest / charges/ installments will attract penal interest of 3% per month.

Special Terms and Conditions, If any:-

1.Original Invoice and Insurance pertaining to the Underlying Machinery (ies) duly endorsed in favour of SF to be submitted within 30 days of Disbursement.
2.BDE/BDM to submit an Inspection Report with SF SME Loan Hypothecation Stickers duly affixed on the machinery financed by SF within 15 days from the date of arrival of the underlying Machinery.
3.Proof of Margin Money Payment (if Applicable) to the Supplier of Underlying Machinery to be submitted prior to disbursement.
4.Documentation formalities to be completed prior to disbursement of Term Loan as per SFL Policy.
5.NACH to be activated.
6.Dealer's payment request mail to be submitted before disbursement.
7.CA/Self-Certified Net worth statement of the Guarantors to be obtained before disbursement.
8. ROC charges to be created within 30 days from disbursement.

ROC should created with in 30 days from the date of disbursement.

General Convenants:-

- SF will have the right to examine at all times, the Borrower's books of accounts and its officers / sites / factory (ies) / stocking points inspected from time to time by officers of SF and / Qualified Auditors / Statutory Auditors and / Technical Experts and / Management consultants of the SF's choice. Cost of such inspection shall be borne by the Borrower
- All charges pertaining to, valuations, insurance, ROC search, other incidental expenses, etc, to be borne by the Borrower and the charges once paid is non-refundable. SF Fund Transfer Price, effective interest rate, fees, commission and other charges are subject to change at any time at the sole discretion of SF or if so required by Reserve Bank of India ("RBI"). All interest rates, fees, commission and other charges are exclusive of interest tax and service tax (if applicable) and the same will be recovered separately
- Please note that SF shall not renew/ enhance the limit granted or to be granted to you otherwise than at the SF's sole and absolute discretion and in no circumstances the loan amount shall at any point of time exceed in the aggregate with interest thereon and other costs, if any, such limit as the SF may, from time to time, decide in respect of each facility or in the aggregate SF reserves the right to charge an additional interest @ 2% in case the documents / requires information are not submitted within the due date resulting in delay/ non-renewal of limits

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- The Borrower shall endorse / assign the insurance policy in SF's favour, covering the full value of assets, hypothecated / Mortgaged / assigned to SF. In case, the property assets are found to be not insured / inadequately insured / the evidence to this effort is not made available to SF, in order to protect its interest SF reserves the right to take adequate insurance cover for such property / assets any cost and risks arising out of this would be borne by the borrower and Sundaram Finance Ltd reserves the right to debit the Borrower's account towards the Insurance Premium charged by the Insurance Company by accepting this Facility Letter you are authorising SF to recover the amount of Premium by debiting your account maintained with us
- The Institution reserves the right to discontinue the facility and to withhold / stop any disbursements without giving any notice in case of non – compliance / breach of any terms and conditions stipulated herein and from time to time as also in the relevant documents or any information / particulars furnished to us is found to be incorrect or in case of any development or situations due to which in the opinion of the Institution, its interest will be / is likely to be prejudicially affected by such continuation or disbursements
- The Borrower further agrees that in addition to right enjoyed by SF, in the event of Borrower committing any act of default, SF shall be entitled to disclose to RBI / CIBIL / any other third person, the name/ identity / details of the Borrower and the fact of its having committed any act of default as aforesaid
- Notwithstanding the terms herein and in conformity with normal business practice, we reserve the right to review this Facility or any of the terms and conditions thereof including interest spread / any other documents or security relating thereto with immediate effect
- Any other terms and conditions, which are not specifically covered herein but stipulated in the sanction, should be strictly compiled with, including those stipulated by other banks, if any, under consortium/ Multiple Banking Arrangements
- Non – Compliance of any of the conditions of sanction or irregularity in the account including unauthorized excess drawings, for any reason will attract penal charges @ 2.00% payable monthly during the period of non – compliance
- Interest payable on unsecured loans to be subservient to interest payable to SF during the currency of SF
- SF may at its sole discretion disclose such information to such institutions(s) in connection with the credit facilities granted to you/ firm/ concern / company
- During the currency of the SF's credit facilities, the firm/ concern/ company shall not, without the prior approval of the SF in writing: -
  - Effect any major change in its capital structure/in management.
  - Withdraw moneys brought in by key promoters or depositors
  - Formulate any scheme of amalgamation/ reconstruction.
  - Invest by way of share capital in or lend or advance funds to or place deposits with any other concern. Normal trade credit or security deposits in the usual course of business or advances to employees, etc., however, not covered by this covenant
  - Undertake guarantee obligations on behalf of another firm/ concern/ company, subsidiary.
  - Declare dividends (in case of companies) for any year except out of the profits relating to that year.
  - Extend loans & advances to promoters / associates and other companies.
  - Avail additional borrowings from the Banking system, secured / unsecured.
  - Charge / Sell off any of the fixed assets of the Firm
- The borrower should not make any drastic changes in its management set up without the SF's permission
- The borrower will keep the SF informed of the happening of any event, likely to have a substantial effect on their production, sales, profits etc., such as labor problem, power cut, etc., and the remedial steps proposed to be taken by it
- The borrower will keep the SF advised of any circumstances adversely affecting the financial position of its subsidiaries/ sister concerns (if any) including any action, taken by any creditor against any of the subsidiaries

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For DYNAMIC AIR ENG RING (INDIA) PVT. LTD.

Managing Director

GUARANTORS

- The Borrower shall forward to SF, Provisional Balance Sheet and Profit and Loss account within 45 days of year - end and audited accounts within 6 months from the year – end
- The credit facilities shall not be transferred/ assigned by the borrower to any other entity without permission of the SF. In case there is any transfer/ assignment the loan shall be recalled at the sole discretion of the SF
- The SF's Schedule of charges for various services is enclosed
- The Borrower(s) shall be deemed to have given their express consent to the SF to disclose the information and data furnished by them to the SF and also those regarding the credit facility/ies to the Credit Information Bureau (India) Ltd. ("CIBIL"), upon signing the copy of the sanction letter. The Borrower(s) and Guarantor(s) shall further execute such additional documents as may be necessary for this purpose
- Evidence of our charge on the company's properties should be displayed prominently
- The loan is at the sole discretion of Sundaram Finance Limited
- In the event of default by you, as per the clauses of Loan Agreement, in payment of loan instalments, interest, cost etc, the loan shall be recalled forthwith without any notice to the borrower. Upon a demand being made on the borrower to repay the amount, you shall forthwith repay the entire amount together with interest, costs and charges etc., failing which, we reserve the right to seek legal remedies to recover its dues from the borrower and guarantors
- SF also reserves the right to assign, securitise or otherwise transfer the loan hereby agreed to be granted (or a position thereof) to any person or third party ("assignee") without any notice or consent along with or without underlying security/ies (movable and/ or immovable) created or to be created for the benefit of SF and pursuant to which the assignee shall be entitled to all or any rights and benefits under the loan and other agreements and / or the security/ies created or to be created by me / us or the guarantor
- This offer shall be valid for acceptance within 30 days from the date of this letter. You are requested to return duplicate copy of this letter duly signed by you/ the authorized signatory (s) of the company and guarantors on all the pages as taken of acceptance of the terms and conditions of sanction and arrange for execution of loan/ security documents at an early date

Yours Faithfully,

For Sundaram Finance Limited.

Signatory

Borrower : DYNAMIC AIR ENGINEERING INDIA PRIVATE LIMITED

Name : KARTHIKEYAN

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

Signature(s) / Company's stamp

Managing Director

*(Please sign on the preceding pages as well)

Date:

Place:

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

Managing Director

FOR SUNDARAM FINANCE LIMITED

Signatory

BORROWER

G. Guruja

GUARANTORS

Schedule 1A (as applicable)

S.No.	Description	Amount
1	Cheque collection charges	Rs.11 per Rs.1000 on O/S Cheques
2	Non PDC/non-mandate collection charges	Rs.300 per EMI
3	Cheque/electronic mandate dishonoring charges	Rs.500 per instance
4	Charges for furnishing Statement of Accounts&interest-principal breakup (more than once)	Rs.500 per Statement
5	Charges of swapping of cheques/electronic mandates	Rs.500 per instance
6	Pre-closure charges-after six months from the date of agreement	On the principal o/s -5%
7	Loan cancellation charges	Limit Setup fee non-refundable under any circumstances
8	Non-submission of valid insurance policy copy	Rs.1000 per asset / Contract within 30 days from the date of agreement and within 30 days from every renewal date. Actuals for machinery to be refunded
9	Legal/Repossession expenses	Actuals
10	Travelling_expenses per month	Where 2 dues or more which are in arrear - Rs.200
11	Rate of additional interest payable for non-payment of interest on due dates	Up to Rs.2000-NIL 2001 to 10000-Rs.10 10001 to 50000-Rs.20 50001 to 100000-Rs.50 above 100000-Rs.100 per lakh (max Rs.10000)
12	Rate of additional interest payable for non-payment of interest on due dates	3 % P.M (36 % P.A.)
13	Non-submission of monthly bank statement	Rs.5000
14	Non-submission of quarterly stock statement	Rs.5000
15	Non-perfection of security	Collect charges as mentioned in "Accepted Facility Letter by the Client"
16	Non-compliance of credit covenants	Collect charges as mentioned in "Accepted Facility Letter by the Client"
17	Delay in SF Lien in property insurance policy	Rs.2000
18	Non-submission of renewal papers on time	Rs.10000
19	Non-Submission of TDSC IN TIME	Rs.10000
20	Limit Setup Fee	As accepted in Facility Letter
21	Limit Renewal Fee	As accepted in Facility Letter

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

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Signatory

BORROWER Managing Director

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